

Module 8

Principles of Auditing

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

The auditor's client screening process usually consists of the following:

- Evaluating the relationship between the auditor and client, primarily to ensure that independence is maintained.
- Carrying out background checks on the directors and shareholders.
- Obtaining and reviewing unaudited financial statements/management accounts.
- Making inquiries of those charged with governance and management.
- Evaluating the integrity of the potential client's principal owners, board of directors, and management team.
- Considering management's attitude towards compliance with laws and regulations.
- Carrying out checks for money laundering or other criminal activity.
- Ensuring the audit firm has adequate time and resources and individuals with relevant skills and experience to carry out the audit.
- Agreeing on fee arrangements.
- Agreeing the contents of the engagement letter with the client.
- Reviewing the client's website to gain information.
- Considering events and conditions that could have implications for accepting the audit engagement.
- Considering the implications of regulatory, compliance, and reporting requirements for the client's business, operations, and the financial reporting and audit processes.

Answer 1(b)

The key matters of SMART's business operations that are relevant to the auditor:

It is a new start-up business incorporated in January 2021. There is no comparative figure for analytical procedures.

It provides high quality IT services. Customers have to make a prepayment for annual support and maintenance service. There is contract liability for the unearned service revenue. There is a risk of misstatement from cut-off of error of service revenue.

Customers are from Hong Kong and overseas. An audit procedure for transactions with foreign currency is needed for service revenue.

All the transactions are settled by internet funds transfer. This lowers the risk of misappropriation of cash and understatement of service revenue.

There are five employees working in the company with fixed salaries and commissions. This means there is a small number of transactions for audit procedures; however, the calculation of commissions is complex.

The head office of SMART is located in Central under a three-year rental contract, which gives rise to right-of-use asset and lease liability. Accounting staff may not apply HKFRS 16 Leases properly.

Answer 1(c)

There is a total of 5 employees working in the company who are paid on fixed monthly salaries and commissions. The number of transactions is small and the calculation of commissions is complex. A substantive approach is considered as an efficient and effective approach for collecting audit evidence for the audit of the salaries and commissions expenses of SMART.

Answer 1 (d)

Completeness – all salaries and commissions expenses that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.

Occurrence – all the recorded salaries and commissions expenses have occurred.

Accuracy – salaries and commissions expenses have been included in the financial statements at appropriate amounts.

Presentation – salaries and commissions expenses and directors' remuneration are presented properly in the financial statements.

Answer 1(e)

The possible substantive audit procedures for the audit of salaries and commissions expenses:

- Agreeing the total salaries charge per the payroll system with the trial balance/general ledger and financial statements.
- Obtaining the monthly payroll reports and casting them to verify the accuracy of the payroll listings.
- For a sample of employees, recalculating the gross and net pay and agreeing with the payroll records.

- Selecting a sample of/all joiners and leavers and agreeing their start/ leave dates with the first/last payroll run.
- Selecting a sample of joiners and leavers and agreeing their start/leave dates with employment contracts.
- Checking against the employment contract for the commission rates for selected sample of employees.
- For a sample of employees, recalculating the commissions and agreeing with the project involvement records and employment contracts.
- For a sample of monthly payrolls, agreeing the total net pay per the payroll records with the bank transfer listing of payments and agreeing these with the cash book.
- Checking against the employers' tax return for selected sample of employees.
- Confirmation for directors' remuneration.
- Other valid points.

Answer 2(a)

The issues and potential risks of material misstatement for the audit of the financial statements:

Issue: Several centers are located at properties owned by one of the major shareholders of SHL.

There is a risk that SHL may not have all related parties' disclosures in the financial statements.

Issue: Students have to pay the course fees in advance.

Course fee revenue is a material class of transaction. Any course fee paid by students in advance is a contract liability. There may be cut-off or calculation errors for the recognition of revenue.

Issue: A new accounting system which can generate more useful financial reports has been introduced in the year 2021.

If the opening balances from the old accounting system have not been transferred correctly, the closing figures will not be correct, resulting in misstatements in the financial statements.

Issue: SHL entered into software development in early 2021.

The accounting for capitalisation of intangible asset is complicated and there may be inappropriate capitalisation.

Issue: The bank wishes to receive the audited financial statements by the end of January 2022.

The deadline of the end of January 2022 to present audited financial statements is very short and a thorough audit may not be performed.

Answer 2(b)

The possible audit responses to the issue identified in part (a):

Emphasising to the engagement team the need to maintain professional scepticism.

Issue: Several centres are located at properties owned by one of the major shareholders of SHL.

The engagement team must obtain audit evidence to gain an understanding of how SHL ensures the identification of related parties and the completeness of disclosures of transactions with those related parties.

Issue: Students have to pay the courses fees in advance.

Analysing the contracts with customers for the proper application of the practical expedient under HKFRS 15 *Revenue from Contracts with Customers* to account for contracts with customers on a portfolio basis, test a sample of contracts of different portfolios, and evaluate whether the performance obligations are properly identified and revenue is recognised based on the contract performance.

Issue: A new accounting system which can generate more useful financial reports has been introduced in the year 2021.

The engagement team must document the old and new accounting system in full and carry out detailed substantive procedures to assess if the closing figures in the old system have been correctly transferred into the new accounting system.

In addition, the engagement should review whether the generated financial reports capture data properly.

Issue: SHL entered into software development in early 2021.

The engagement team must apply professional scepticism throughout the course of the audit and extend detailed substantive procedures over the intangible asset, e.g., evaluating compliance with HKAS 38 *Intangible Assets* to ensure that only development costs are capitalised (research costs must always be expensed to the statement of profit or loss).

Issue: The bank wishes to receive the audited financial statements by the end of January 2022.

The engagement team must discuss with John Chan the need for the audit to comply with Hong Kong Standards on Auditing in full, and that this will take time. The engagement team should request the audit completion timetable to be extended.

Answer 2(c)

The possible substantive audit procedures for the intangible asset (in-house development of software):

- Obtain a schedule of development costs capitalised during the reporting period, cast the schedule, and agree the amount with the financial statements.
- Discuss details of the project with management and evaluate compliance with HKAS 38 to ensure that only development costs that fulfil the recognition criteria are capitalised.
- Inspect the project's plans and other documentation to assess compliance with HKAS 38.
- Inspect the company's budgets to confirm the project is financially viable.
- Inspect Board minutes for discussions relating to the intended sale or use of the asset.
- For a sample of costs, agree them with purchase invoices or labour costs to payroll records.
- Evaluate impairment testing performed by management for any need to recognise impairment loss.
- Other valid points.

Answer 3(a)

According to HKSA 610 (Revised 2013) *Using the work of Internal Auditors*, an internal audit is a function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes.

Answer 3(b)

This auditing standard recognises that the external auditor can use the work of the internal auditor to modify the nature, timing, and extent of the external auditor's procedures to be performed as part of the evidence-gathering process.

This can be done by the external auditor:

- using the work of the internal auditor, for example, where internal audit has tested the operating effectiveness of the internal controls over the accounting system and accounts preparation process, the external auditor could reduce the extent of audit testing of the controls; or
- using internal audit personnel to provide direct assistance by performing audit procedures under the direction, supervision, and review of the external auditor.

Answer 3(c)

The oversight responsibilities of the audit committee can be grouped into several categories as follows:

- Corporate governance. The audit committee should participate with other board committees in overseeing corporate strategies, decisions, actions, and performance.
- Internal controls. The audit committee should oversee the adequacy and effectiveness of both the design and operation of the company's internal control structure.
- Financial reporting. The audit committee should oversee the financial reporting process by reviewing annual and quarterly financial statements.
- Audit activities. The audit committee is responsible for overseeing for appointing, removing and compensating external auditors and monitoring their independence and audit services.
- Code of ethics conduct. The audit committee is responsible for overseeing the establishment and enforcement of the company's code of ethical conduct.
- Other activities. Other important activities of the audit committee include overseeing the company's enterprise risk assessment and management, proper design, and implementation of anti-fraud policies and procedures and the effectiveness of whistle-blowing policies and processes.

Answer 4(a)

Unmodified opinion is the opinion expressed by the auditor when the auditor concludes that the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

Answer 4(b)

According to HKSA 700 (Revised) *Forming an Opinion and Reporting on Financial Statements*, the basic elements of an unmodified auditor's report of a Hong Kong listed company include:

- Title of the report
- Addressee
- Auditor's opinion
- Basis for opinion
- Key audit matters
- Other information
- Responsibilities of Directors and Those Charged with Governance for the financial statements
- Auditor's responsibilities for the audit of the consolidated financial statements
- Other reporting responsibilities
- Name of the engagement partner
- Auditor's name and signature
- Auditor's address
- Date of the report
- Other valid points

Answer 4(c)

The four situations and the relevant types of modified auditor's opinion for each situation are as follows:

- Inability to obtain sufficient appropriate audit evidence, and the misstatement is material but not pervasive; give rise to a qualified opinion.
- Inability to obtain sufficient appropriate audit evidence and the misstatement is material and pervasive; give rise to a disclaimer opinion.
- Financial statements are misstated and the misstatement is material but not pervasive; give rise to a qualified opinion.
- Financial statements are misstated and the misstatement is material and pervasive; give rise to an adverse opinion.
- The auditor shall disclaim an opinion when, in extremely rare circumstances involving multiple uncertainties, the auditor concludes that, notwithstanding having obtained sufficient appropriate audit evidence regarding each of the individual uncertainties, it is not possible to form an opinion on the financial statements due to the potential interaction of the uncertainties and their possible cumulative effect on the financial statements.

Answer 4(d)

As the misstatement is material but not pervasive and there are no other misstatements that are individually or in aggregate material found in the audit of the financial statements, a qualified opinion is to be given.

Amend the heading "Basis for Opinion" to "Basis for Qualified Opinion", and within this section, include a description of the matter giving rise to the modification. For this material misstatement of lease liability, the auditor shall include in the Basis for Qualified Opinion section a description and quantification of the financial effects of the misstatement.

* * * **END OF EXAMINATION PAPER** * * *